

Headlines today reflect the extension of this mood: "The American Economy Back on Top," "The Evidence: Glowing Numbers and More to Come," "The U.S. Economy Back in the Driver's Seat," "Business Is Expected to Boom in 1995," "Pros [Say] Economy to Keep Perking," "No Recession in Forecast For '95," "Economy May Not Dip Significantly Until 2000," "Greenspan Says Foundations of Economic Expansion Increasingly Well Entrenched," "All Signs Point to Soft Landing," and "Clinton Team Predicts Steady Growth." The latest reports show that 82% of economists predict continued expansion until at least 1997, while 40% predict no recession until 1998 or beyond. The President's Council of Economic Advisors says, "we don't see any scenario that generates a recession in the next *five years*." "Many private economists," says an article, "agree there's a good chance the economy will escape a recession *for the rest of the decade*." Alan Greenspan's recent testimony before Congress has crystallized the consensus opinion already in place that the economy will slow gently into a "soft landing," i.e., not go into recession, and then continue expanding without pause for five years or more. Certainly there is no concern among these forecasters over the economy's move over the past fourteen years from historically high inflation to no inflation, the same trend that preceded the 1929-1932 stock market collapse and ensuing deflationary depression. The general expectation of continued growth is so pervasive that a recent study of such references in *Barron's* shows that 1995 is already on the way to setting a record in terms of references to a "soft landing," the last record having been set in 1989, the year before the worst recession by some measures since the 1940s. Optimism would persist forever if the economy never changed, as all conventional "forecasts" are simply a reflection of present conditions and the trends that led to them.

The level of public optimism has edged even higher as well. As this book goes to press, the Consumer Confidence index is at a level commensurate with previous tops in the economy. Economists always assert that consumer optimism is bullish, when in fact, extremes in psychology in both directions signal that the trend is likely to reverse, as it has in every instance on record. For instance, notice that in 1982, the average consumer had little confidence about the future. To have correctly anticipated the future, the reading should have been on the ceiling. It is *consumer pessimism* that is bullish, as you can see by the coincidence of low confidence with recession lows in Figure 13-28.